Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: CEO Compensation - Long-Term Performance Alignment
Include Modeled Scores : Yes

CEO Compensation - Long-Term Performance Alignment

Question

Does the company reports on the performance-based variable compensation system for its CEO?

Rationale

Both financial and non-financial metrics are becoming increasingly important in determining variable compensation for executive management and more specifically the CEO. In this question, we assess time vesting and performance periods that are used for determining the CEO's variable compensation. A longer vesting period ensures that the interests of management and the long-term interest of shareholders are better aligned. Additionally, we assess if the short-term bonus is deferred in shares or stock options.

The economic alignment of management with the long-term performance of the company is an essential component of executive compensation. This alignment can be achieved in several ways, including deferral of short-term compensation, time vesting, and long-term performance periods. Alignment with long-term performance is particularly important during periods of short CEO tenure, as the risk of short-termism increases. For example, in 2009, CEOs of S&P 500 companies held their position for an average of just 7.2 yrs. This has subsequently increased to 10.8 years in 2015 as the economy recovered and turnover declined, but the risk of a reversion remains. (Matteo Tonello, The Conference Board, Inc., 2016). A longer vesting period ensures that the interests of management and the long-term interest of shareholders are better aligned.

Performance Summary	
Question Level Company Performance	0
Question Weight	6
Year-on-Year Change	0
Industry Average Score	9
Industry Highest Score	80

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Deferred shares: refer to the percentage of the short-term bonus paid out in deferred shares instead of cash. The company can choose to pay out the annual short-term bonus in deferred shares to the CEO and other executive directors which is seen as a best practice.

Deferred bonus compensation is an arrangement in which a portion of an employee's income is paid out at a later date after which the income was earned during a set performance period.

Performance period: This refers to a performance-based pay-out structure of variable compensation for the current period x which is dependent on achieving targets in the following periods (x+1, x+2, x+3, etc.). Please note that option- and stock-based compensation for which the number of options or stocks rewarded is not dependent on future performance do not count as performance vesting but are considered as time vesting.

Example: "The actual number of shares that may become earned and payable under the awards will generally range from 0% to 200% of the target number of units based on achievement of the specified goals over a two-year period."

A clawback provision: a policy that allows a company to recover performance-based compensation for some period of time after compensation awards are granted. Clawback provisions may apply to short and/or long-term awards. The circumstances and conduct that would trigger clawback provisions include, but are not limited to, restatement of financial results, errors in financial information reported, misconduct by the employee directly, or misconduct by any other employee that results in incorrect financial reporting.

Time vesting: refers to time-based pay-out structures of variable compensation for the current period x over the coming years (x+1, x+2, x+3, etc.). The amount of future payout is independent of the coming year's performance. If all long-term incentives are based on future performance, the same figure should be given for the longest performance period and the longest time vesting period.

We accept the total number: the sum of the vesting period and the required holding period.

Exceptions to the Standard Methodology for Non-Listed companies:

The definition of shares includes non-tradable stock and phantom/synthetic shares that replicate the company's share practice performance.

Phantom / synthetic shares: A phantom stock is an employee benefit plan that gives selected employees (senior management) many of the benefits of stock ownership without actually giving them any company stock. This is sometimes referred to as shadow stock. Phantom stock, also known as synthetic equity, has no **inherent** requirements or restrictions regarding its use, allowing the organization to use is however it chooses.

Data Requirements

In this question, we assess the time vesting and performance periods as well as whether the company has a clawback provision in place. In addition, we assess if the short-term bonus is deferred in shares or stock options.

The question applies to **CEO compensation only**.

Disclosure Requirements

Listed and/or publicly owned companies are required to provide links to public reports or corporate websites.

Non-listed companies are required to provide the following evidence, depending on the type of company:

- **Family-owned companies and Privately owned companies** are required to provide public reports, corporate websites, or internal documents.
- **Cooperatives** are required to provide public reports, corporate websites, or internal documents.
- **State-owned companies** are required to report on their corporate governance in the public domain as their key stakeholder is the general public.

Standards & Frameworks

GRI Disclosure - 2-19

WEF Metrics - Remuneration

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company's guidelines on deferred bonus, time vesting, and performance period for the CEO's variable compensation available publicly	Not measured
Percentage of the CEO's short-term incentive/bonus deferred in the form of shares or stock options	Not measured
Longest performance period covered by the executive compensation plan (years) (years)	Not measured
Clawback provision in place	Not measured
Longest time vesting period for variable CEO compensation (years)	Not measured

Questionnaire

Does your company have the following compensation structures in place to align with long-term performance? Please indicate where this information is available:

Listed companies are required to provide links to public reports or corporate websites.

Non-Listed companies may provide internal documents and/or links public reports or corporate websites.

1. ○

   Yes, our company has guidelines on deferred bonus, time vesting, and performance period for the CEO's variable compensation.

   Deferral of Bonus for Short-term CEO Compensation

   Is a portion of the CEO's short-term incentive deferred in the form of shares or stock options?

   Please indicate the percentage of the short-term bonus deferred in the form of shares or stock options:

   Not measured

   Performance Period for Variable CEO Compensation

   What is the longest performance period applied to evaluate variable compensation(based on predefined targets, either relative or absolute), covered in your executive compensation plan? Is there a clawback policy in place? Please note that compensation that only is time vested is not considered as performance based compensation in this part of the question.

   Please indicate the longest performance period covered by your executive compensation plan:

   Not measured

   1. ☐

      We have a clawback provision in place. Please specify:

   Time Vesting for Variable CEO Compensation

   Please indicate the longest time vesting period for variable CEO compensation:

   Not measured

2. ○

   No, we do not have a performance-based variable compensation system or we do not report on this following the disclosure requirements of this question.

3. ○

   Not applicable. Please provide explanations in the comment box below.

4. ○

   Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.